



Fannie Mae Cooperative Property Program

RESTRICTED-ELIGIBILITY PROGRAM

This program may be used only in the states of New York and New Jersey. Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE			(FULL DOCUMENTATION)	
Property Type	Maximum LTV	Maximum CLTV	Minimum Credit Score	Underwriting Engine & Required Response
Type 1 Cooperative	97% ¹	Subordinate financing not eligible	NA	DU – Approve/Eligible

PRIMARY RESIDENCE – CASH-OUT REFINANCE			(FULL DOCUMENTATION)	
Property Type	Maximum LTV	Maximum CLTV	Minimum Credit Score	Underwriting Engine & Required Response
Type 1 Cooperative	80%	Subordinate financing not eligible	NA	DU – Approve/Eligible

SECOND HOME – PURCHASE AND RATE/TERM REFINANCE			(FULL DOCUMENTATION)	
Property Type	Maximum LTV	Maximum CLTV	Minimum Credit Score	Underwriting Engine & Required Response
Type 1 Cooperative	90%	Subordinate financing not eligible	620	DU – Approve/Eligible

1. Maximum LTV for all ARM and high balance loans are restricted to 95%

COOPERATIVE LENDING PROCESS

For information about the cooperative lending process, or to begin the process for a particular loan application, contact one of Flagstar Banks Approved NY Settlement Agents for Cooperatives as listed on *Approved Settlement Agents for Cooperatives*, [Doc. #4641](#).

PROGRAM SUMMARY

Fixed rate and term, fully amortizing, conventional first lien mortgage loan program designed for financing of cooperative properties in New York and New Jersey.

PRODUCTS OFFERED

Product Name	Term	ARM Disclosure
Fannie Mae Cooperative Property 30-Year	30 years	NA
Fannie Mae Cooperative Property 25-Year	25 years	
Fannie Mae Cooperative Property 20-Year	20 years	
Fannie Mae Cooperative Property 15-Year	15 years	
Fannie Mae Cooperative Property 10-Year	10 years	
Fannie Mae Cooperative Property 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Fannie Mae Cooperative Property 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent
Fannie Mae High-Balance Co-op 30-Year	30 years	NA



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Product Name	Term	ARM Disclosure
Fannie Mae High-Balance Co-op 25-Year	25 years	
Fannie Mae High-Balance Co-op 20-Year	20 years	
Fannie Mae High-Balance Co-op 15-Year	15 years	
Fannie Mae High-Balance Co-op 10-Year	10 years	
Fannie Mae High Balance Co-op 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Fannie Mae High Balance Co-op 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent

ELIGIBLE PROPERTY TYPES

Cooperative properties (warrantable under Fannie Mae Type 1 guidelines)

Submit cooperative project information to Flagstar's Project Review department. Refer to *Project Review Submission Instruction*, [Doc. #3253](#) for further information.

INELIGIBLE PROPERTY TYPES

- Cooperative properties (not warrantable under Fannie Mae Type 1 guidelines)
- Condominium
- 1 to 4-unit property
- PUD
- Modular home
- Manufactured home

LOAN AMOUNTS

MAXIMUM

Maximum conforming loan limits for 1-unit property, including high-balance loan limits

State	Metropolitan, Micropolitan or County Name	Component Counties	1-Unit Limit
NJ	Atlantic City (Metropolitan Area)	Atlantic	\$726,200
NJ	New York-Northern New Jersey-Long Island, NY-NJ-PA (Metropolitan Area)	Bergen, Essex, Hudson, Hunterdon, Middlesex, Monmouth, Morris, Ocean, Passaic, Somerset, Sussex, Union	\$1,089,300
NJ	Ocean City (Metropolitan Area)	Cape May	\$726,200
NJ	Philadelphia-Camden-Wilmington, PA-NJ-DE-MD (Metropolitan Area)	Burlington, Camden, Gloucester, Salem	\$726,200
NJ	Trenton-Ewing (Metropolitan Area)	Mercer	\$726,200
NY	New York, Northern New Jersey, Long Island, NY, NJ, PA (Metropolitan area)	Bronx, Kings, Nassau, New York, Putnam, Queens, Richmond, Rockland, Suffolk and Westchester	\$1,089,300
NY	Poughkeepsie-Newburgh-Middletown (Metropolitan Area)	Dutchess, Orange	\$726,525



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MINIMUM CREDIT SCORES

Refer to the *Product Eligibility Grids* above. Mortgage insurers may have additional restrictions. Refer to each specific mortgage insurance company's website for complete eligibility details. All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

SUBORDINATE FINANCING

Not eligible

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction.

INTERESTED PARTY CONTRIBUTION LIMITS

Property Type	Up to 75% CLTV	75.01-90% CLTV	90.01-97% CLTV
Primary Residences	Maximum 9%	Maximum 6%	Maximum 3%
Second Homes	Maximum 9%	Maximum 6%	Maximum 3%

TEMPORARY BUYDOWNS

Not eligible

QUALIFYING RATE

QUALIFYING RATE		
Fixed Rate	5/6 ARMs	7/6 ARMs
Note rate	Greater of note rate plus 2% or fully-indexed	Greater of fully indexed or Note rate

QUALIFYING RATIOS

Determined by Desktop Underwriter

RESERVES

Determined by Desktop Underwriter

APPRAISAL GUIDELINES

All loans must have an appraisal completed on Form 2090, Individual Cooperative Unit Appraisal Report (appraisal Form 2095 is not acceptable). The appraiser must provide at least one recent comparable within the same project and one from a competing cooperative project. The appraisal should indicate that the project is located in an area with a demonstrated market acceptance for the cooperative form of ownership (the degree of acceptance is generally reflected in the availability of information on similar comparable sales of cooperative units within the market area).



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UNDERWRITING

All loans must meet the parameters as set out in Flagstar Bank's current Residential Underwriting Guidelines, as amended.

- All loans must receive an *Approve/Eligible* recommendation from Desktop Underwriter.
- All high balance loans must include SFC 808.
- All cooperative projects must meet the eligibility criteria as set out in Flagstar's [Conventional Underwriting Guidelines](#).

COOPERATIVE DOCUMENTATION REQUIREMENTS

Document Name	When Required
Public Offering Statement (new projects only)	Prior to closing
Uniform Cooperative Questionnaire, Doc. #3256 (fully completed and signed)	Prior to closing
Cooperative Interest Appraisal Report (Form 2090)	Prior to closing
Offering Plan (new projects only)	Prior to closing
Financial Statements	Prior to closing
Evidence of UCC-1 Filing	Prior to closing
Proprietary Lease	At closing
Recognition Agreement (legal requirements)	At closing
All required insurance declaration pages	At closing

LTV, CLTV, and HCLTV ratios greater than 95%: These transactions are not eligible with ARM's, high balance loans, or loans with non-occupant borrower. At least one borrower on the loan must have a credit score. For purchase transactions, at least one borrower must be a first time home buyer. For Limited cash-out refinances, Fannie Mae must be the owner of the existing mortgage.

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

All loans above 80% LTV require mortgage insurance coverage. MGIC will not insure any loan with a credit score below 680, regardless of the DU response.

STANDARD MORTGAGE INSURANCE GUIDELINES

LTV	25 & 30-Year	10, 15 & 20-Year
95.01 – 97%	35%	35%
90.01 – 95%	30%	25%
85.01 – 90%	25%	12%
80.01 – 85%	12%	6%

For purposes of determining whether or not mortgage insurance will be required, See [Conventional Underwriting Guidelines](#).



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STATE ELIGIBILITY

Available in the following geographic areas:

State	Restriction
New Jersey	Eligible
New York	Eligible

PREPAYMENT PENALTY

None

FEES

Standard Flagstar Bank fees apply. All fees charged by the law firms will be the responsibility of the customer and will not be borne by Flagstar Bank.

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/6: Initial – 2% up/down; subsequent – 1% up/down; lifetime – 5% up. 7/6: Initial – 5% up/down; subsequent – 1% up/down; lifetime – 5% up.
Margin	See Price Indication Sheet
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate floor is equal to the margin
Change Dates	5/6: The first change date is the 60 th payment due date. There is a new Change Date every 6 months thereafter. 7/6: The first change date is the 84 th payment due date. There is a new Change Date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing and closing document preparation must be coordinated and scheduled with one of Flagstar Bank's Approved NY Settlement Agents for Cooperatives as listed on *Approved Settlement Agents for Cooperatives*, [Doc. #4641](#). Available in the following counties: Bronx, Kings, Nassau, New York, Queens, Richmond, Rockland, Suffolk, and Westchester.

ALL LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Standard title commitment with all applicable endorsements

FIXED RATE LOANS

- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series

ADJUSTABLE RATE LOANS

5/6 & 7/6 ARM

- Fannie Mae Multistate Adjustable Rate Note, Form #3442



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- Fannie Mae Multistate Adjustable Rate Rider, Form #3142

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140
- Fannie Mae/Freddie Mac multi-state Second Home Rider, Form# 3890